Inflation at 4.3%: what's driving it, who says what, and what policy can do

> September's inflation figures put the RBA on track for a fifth rate rise this year. But economists, the RBA, the Treasurer, the Opposition and commentators disagree about **why** prices are rising and **who** should do the heavy lifting. This summary brings together this week's coverage, sets the perspectives side by side and links each one to the diagrams you need for the HSC.

THE NUMBERS IN ONE PLACE

4.3%
Annual CPI, Sept 2026 (Aug: 4.0%)

1.0%
Trimmed mean, Sept quarter (RBA forecast 0.8%)

3.6%
Annual trimmed mean (3.7% on the quarterly measure)

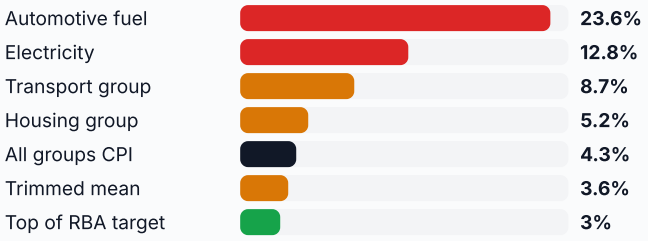
4.7%
Unemployment, Sept (4.1% in Jan)

4.60%
Cash rate now, after four rises in 2026

~90%
Market odds of a rise to 4.85% on 3 Nov

BAR CHART

Annual price rises to September 2026: where the heat is



Source: ABS, Consumer Price Index, Australia, September 2026 (annual, monthly basis).

Two very different stories sit inside this chart. **Fuel and electricity** point to supply-side, cost-push pressure from world oil prices and expired energy rebates.

The **trimmed mean**, which strips out the biggest movers, is still 3.6%, above the 2–3% band. Together with market services inflation back above 4%, this points to broader, **demand-driven** pressure. Most of the disagreement below comes down to how much weight each side gives to each story.

THE FOUR DEBATES

1 What is causing inflation: supply shocks or too much demand?
2 Monetary policy: hike now or wait?
3 The cost: jobs, borrowers and expectations
4 Fiscal policy, the policy mix and productivity
5 Perspectives at a glance, plus exam practice

SOURCES COMBINED

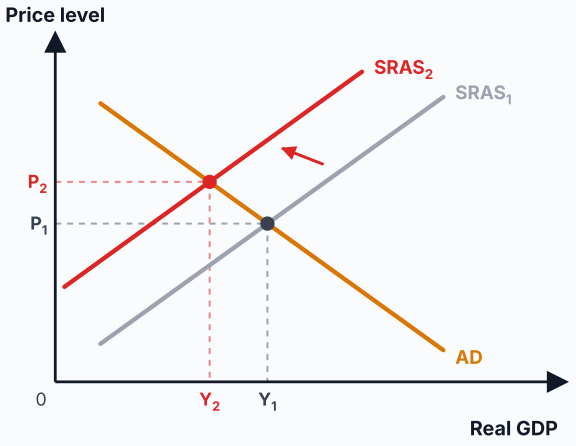
ABS CPI release · The Conversation (Isaac Gross, Monash) · ABC News reporting and analysis (incl. Tom Crowley) · AAP · Senate estimates coverage (Bullock, Hunter, Hauser) · global context from Trading Economics, Fox Business and The National. All content is paraphrased; full links are on page 6.

1 What is causing inflation: supply or demand?

TOPIC 3 · CAUSES OF INFLATION

Every participant in this week's debate agrees inflation is too high. They disagree on the **mix of causes**. That matters because monetary policy works on demand: if the problem is mainly supply, rate rises cost more jobs for each point of inflation they remove.

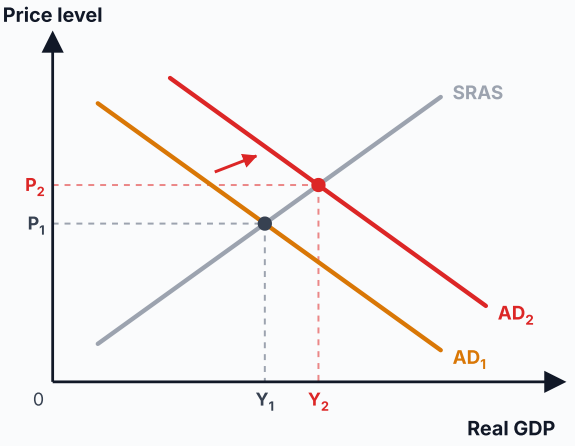
DIAGRAM **Cost-push: a negative supply shock**



Higher oil and electricity costs raise production costs, so short-run aggregate supply shifts from **$SRAS_1$ to $SRAS_2$**. The price level rises from **P_1 to P_2** while real GDP *falls* from Y_1 to Y_2, the classic stagflation pattern.

Evidence this week: fuel up 23.6% over the year; Brent oil around US$115; electricity up 12.8% as rebates expired.

DIAGRAM **Demand-pull: spending outruns capacity**



Strong investment (data centres and AI) and household spending shift aggregate demand from **AD_1 to AD_2**. The price level rises from **P_1 to P_2** and output rises from Y_1 to Y_2, until the economy runs into capacity limits.

Evidence this week: the trimmed mean at 3.6%; market services above 4%; the RBA's view that demand is too strong relative to supply.

WHO	WHERE THEY PUT THE EMPHASIS	WHAT IT IMPLIES
Jim Chalmers (Treasurer)	Mainly **external supply shocks** (the Middle East war, oil) plus a private investment boom such as data centres. The budget is not the "primary driver".	The government accepts a role, but the main causes are beyond its control and fiscal policy is not to blame.
Michele Bullock (RBA Governor)	**Both.** Supply shocks are compounding, but the inflation problem **predates** the energy shock, and data-centre investment is adding to demand. The labour market is tighter than thought.	Domestic demand pressure is real, so rates have a job to do. Repeated shocks also risk lifting inflation expectations.
Sarah Hunter (RBA chief economist)	**Demand** is too strong relative to supply. She is concerned that overseas cost increases could become embedded in domestic inflation.	The economy needs to cool, even though no recession is in sight.
Tim Wilson (Shadow Treasurer)	**Government spending** is driving underlying inflation.	Fiscal restraint is needed, and the RBA is being forced to hike because of the budget.
Isaac Gross (Monash, The Conversation)	The headline jump is largely **fuel and travel**, and doesn't prove every part of the economy is overheating. But the underlying pace (1.0% a quarter) signals worrying momentum.	Weigh fuel-driven headline inflation against underlying inflation, weaker consumption and rising unemployment.
Tom Crowley (ABC analysis)	A **"perfect storm"**: war-related supply constraints colliding with an AI investment boom that is lifting demand.	No single lever fixes both causes, so expect tight policy well into 2027.

Exam angle: don't pick one cause. The strongest answers identify **both** cost-push and demand-pull pressures, use the **trimmed mean** to separate them, and then explain why the mix matters for choosing a policy. The card-surcharge ban from 1 October is a third, minor wildcard: if firms build card costs into prices, the RBA estimates a one-off rise of about 0.1% in the price level.

2 Monetary policy: hike now or wait?

The RBA board meets on Monday 2 November and announces its decision at **2:30pm AEDT on Tuesday 3 November**, with new forecasts. Markets now price a rise from 4.60% to **4.85%** at about 80–90%, and all four major banks expect it. If it happens, it will be the fifth rise of 2026 and the highest cash rate in 18 years.

FLOW CHART **The transmission mechanism: how a rate rise reduces inflation**

RBA raises the cash rate to 4.85% → Mortgage, business and deposit rates rise → Less disposable income, more saving, stronger AUD → Consumption and investment slow (AD shifts left) → **Inflation eases towards 2–3%**

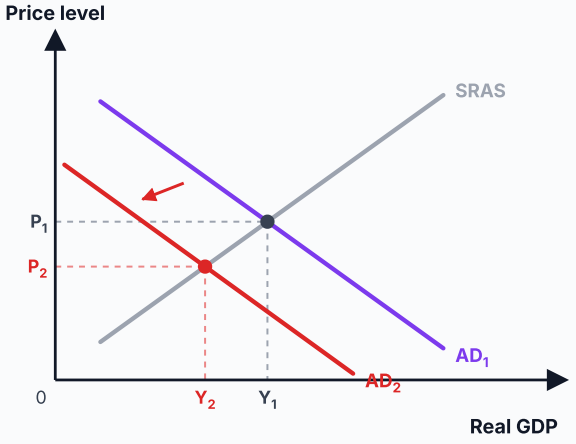
The case to hike on 3 November

- Underlying inflation rose 1.0% in the quarter, beating the RBA's 0.8% forecast. If that pace continued it would be well above the 2–3% target.
- Deputy Governor Hauser says the inflation outlook is materially worse than in August.
- Bullock says the labour market is tighter than thought, so there is less spare capacity.
- There is a risk that expectations become embedded after repeated shocks.
- NAB and CBA have switched to forecasting a hike, joining ANZ and Westpac.

The case to wait

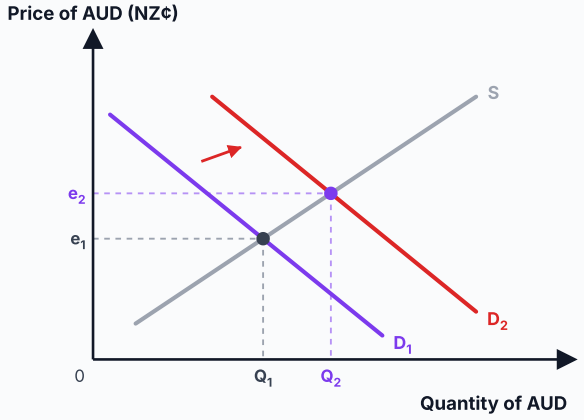
- Time lags: four rises in 2026 (100 basis points in total) have not yet fully flowed through (Gross).
- Consumption is weakening and unemployment is rising (acknowledged by Hauser).
- The quarterly trimmed mean matched economists' expectations, and Hauser called the result broadly in line with the RBA's own expectations.
- Much of the headline rise is fuel, which rate rises cannot fix.
- A hold need not end the tightening cycle.

DIAGRAM **The demand channel: AD shifts left**



A rate rise lowers spending, shifting aggregate demand from **AD_1 to AD_2**. The price level falls back from **P_1 to P_2**, but real GDP also falls from Y_1 to Y_2. That is the cost in output and jobs.

DIAGRAM **The exchange rate channel (AUD vs NZD)**



Higher expected Australian rates, while New Zealand's central bank held at 2.75%, raised demand for the AUD from **D_1 to D_2**, so the exchange rate rose from **e_1 to e_2**. The AUD reached about NZ$1.26, a 13-year high, and about US70.45c. Appreciation lowers import prices, which helps reduce inflation.

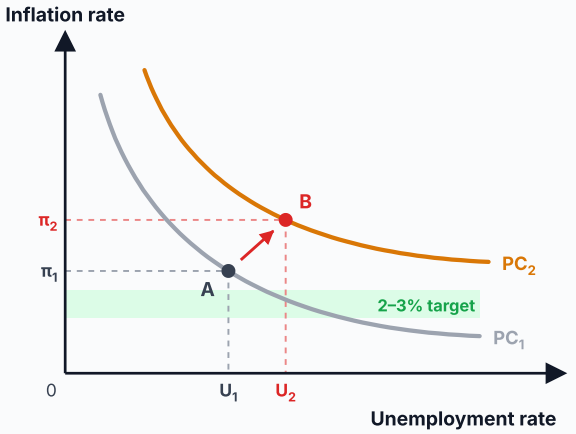
Global context: Australia is not alone. The US Federal Reserve held at 3.75–4.00% after a September hike, with two members voting for another rise. New Zealand's central bank held but signalled further tightening is probably needed. Brent oil near US$115 is pushing up costs everywhere, which is why many central banks face the same supply-shock dilemma.

3 The cost: jobs, borrowers and expectations

TOPIC 3 · INFLATION–UNEMPLOYMENT TRADE-OFF

Bringing inflation down by reducing demand is not free. This week's coverage brought out three costs: **rising unemployment**, pressure on **borrowers**, and the danger that higher inflation becomes **expected**, which makes it more costly to remove.

DIAGRAM **When inflation expectations rise**



If people come to expect higher inflation, for example after a run of supply shocks, the short-run Phillips curve shifts up from **PC_1 to PC_2**. The economy can move from **A to B**, with both higher inflation (π_1 to π_2) and higher unemployment (U_1 to U_2). Returning to the green 2–3% band then needs a larger rise in unemployment.

WHAT THE RBA AND ECONOMISTS SAID

- **No recession yet:** Sarah Hunter said none of the indicators the RBA tracks show the economy in, or about to enter, recession, though she gave no guarantee.
- **But jobs are weakening:** unemployment reached 4.7% in September (up from 4.1% in January) and employment fell by about 39,300. The RBA expects unemployment to rise further.
- **A tighter labour market than thought** (Bullock) implies a higher NAIRU, so unemployment must rise further to restrain wages and prices.
- **How high?** NAB's Sally Auld suggests unemployment may need to reach 5.5%, not 5%.
- **Expectations:** Bullock warned that compounding supply shocks could embed higher inflation expectations. Hauser has described inflation expected to stay above 3% as a central banker's nightmare.

WINNERS AND LOSERS **Who bears the cost of the inflation fight?**

Hit hardest

- **Mortgage holders and other borrowers**: rate rises work by squeezing them (Crowley).
- **Workers on the margin**: entry-level and casual staff are often the first to lose jobs or hours when unemployment rises.
- **Low-income households**, who spend a larger share of their income on fuel and electricity, the fastest-rising prices.
- **Exporters**, if the AUD appreciates.

Relatively protected, or better off

- **Savers and depositors**, who earn higher interest rates.
- **Outright home owners**, such as many retirees, with no mortgage exposure.
- **Importers and overseas travellers**, who benefit from a stronger dollar.
- **Everyone, in the long run**, if low and stable inflation is restored.

Exam angle: use the Phillips curve to explain the **short-run trade-off**, then point out that supply shocks and expectations **worsen** it. This is exactly Bullock's point to Senate estimates, and a strong way to discuss the limitations of monetary policy.

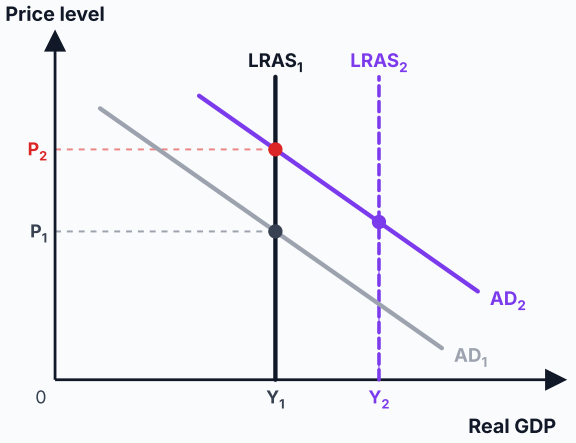
4 Fiscal policy, the policy mix and productivity

TOPIC 4 · FISCAL POLICY · MICRO REFORM

If monetary policy has to do all the work, rates go higher and the costs to borrowers and workers grow. That is why the stance of the **budget** is contested, and why economists keep returning to **productivity** as the only lasting fix.

WHO	POSITION ON FISCAL POLICY	ECONOMIC REASONING / CRITIQUE
Jim Chalmers (Treasurer)	No return of the fuel excise discount, because the budget can't afford it. More savings to come in the December MYEFO. Relief must not be counterproductive.	He accepts the government's part, but argues the budget is not the main cause. Restraint avoids adding to demand.
Tim Wilson (Shadow Treasurer)	Government spending is lifting underlying inflation. He wants a fuel discount funded by spending cuts.	Expansionary fiscal policy is forcing the RBA's hand. A funded discount would lower prices at the pump, although it could still add to demand.
Tom Crowley (ABC analysis)	Chalmers "might have a point" that spending is not the root cause, but EV and home-battery discounts send billions to high-income earners.	Poorly targeted spending makes the policy mix harder and raises **equity** concerns.
Chris Richardson (cited by Crowley)	A **"precautionary principle"**: at a minimum, governments shouldn't make inflation worse with extra spending or large tax cuts.	Fiscal policy should at least be neutral, so it doesn't work against the RBA.
The Greens	Lift the tax-free threshold from $18,200 to $26,000 (worth up to $1,092 a year) and raise income support by the same amount. The PBO costs it at $22b a year, to be funded by higher taxes on gas and mining companies.	The aim is to redistribute income. Whether it is inflationary depends on whether the tax rises on companies fully offset the extra household spending.

DIAGRAM **The long-run fix: lift productive capacity**



When demand grows from **AD_1 to AD_2** against fixed capacity at **$LRAS_1$**, only prices rise (P_1 to P_2). Productivity growth shifts capacity out to **$LRAS_2$**, so output can reach **Y_2** without extra inflation.

WHY PRODUCTIVITY IS THE MISSING PIECE

- Crowley argues productivity growth is the **only lasting fix**, yet no one can clearly explain how to deliver a productivity boom.
- The open question about the data-centre and AI boom: Bullock says it is adding to demand **now**. It would only ease inflation if it later lifts productive capacity.
- Microeconomic reform (competition, energy markets, housing supply, skills) works **slowly**, so in the short run macroeconomic policy has to carry the load.
- Without that, Crowley expects policy to go "harder for longer", restraining demand well into 2027.

Exam angle: a good "policy mix" answer explains that monetary policy (short run, demand), fiscal policy (stance and targeting) and microeconomic reform (long run, supply) each have a different role, and evaluates how well they are working **together** in 2026.

5 Perspectives at a glance, plus exam practice

TOPICS 3 & 4

PERSPECTIVE	MAIN CAUSE	PREFERRED RESPONSE	LIMITATION TO DISCUSS
Supply-shock view (Chalmers; partly Gross)	Oil, war, expired energy rebates	Avoid adding to demand; be careful with relief; wait for shocks to fade	Risks **second-round effects** as expectations and wages adjust
Demand / overheating view (Hunter; Wilson on the budget)	Strong private and public spending; tight labour market	Higher rates; fiscal restraint	Time lags; job losses; borrowers bear an uneven share of the burden
"Both" / dilemma view (Bullock; Crowley)	Supply shocks plus an investment boom	Tighten and wait; update models; guard against rising expectations	A worse trade-off: more unemployment for each point of disinflation
Wait-and-see view (Gross's case for a hold; Westpac's view on later moves)	Headline inflated by fuel; earlier hikes still working through	Pause and assess the new forecasts	Risk of acting too late if underlying momentum persists
Long-run supply view (Crowley; Richardson)	Weak productivity growth limits capacity	Microeconomic reform; better-targeted spending	Slow, uncertain and politically hard

SHORT-ANSWER PRACTICE

1. Distinguish between headline and underlying inflation, using September 2026 data. **(4 marks)**
2. Using an AD/AS diagram, explain how a rise in world oil prices affects inflation and economic growth in Australia. **(4 marks)**
3. Explain the transmission mechanism of a rise in the cash rate. **(5 marks)**
4. Using a Phillips curve, explain why rising inflation expectations make it harder to reduce inflation. **(4 marks)**
5. Outline the role of fiscal policy in supporting monetary policy to reduce inflation. **(4 marks)**

EXTENDED RESPONSE

Question: Evaluate the effectiveness of Australia's economic policies in managing inflation in 2026. **(20 marks)**

Plan:

1. Context: CPI 4.3%, trimmed mean 3.6%, target 2–3%; causes are cost-push (oil, energy) plus demand (investment boom, tight labour market).
2. Monetary policy: four rises to 4.60% and a likely fifth; transmission, with AD-left and exchange rate diagrams. Strengths: flexibility, independence. Limits: lags, supply shocks, uneven impacts.
3. Fiscal policy: MYEFO savings, no fuel discount; the Wilson and Crowley critiques; the precautionary principle and the policy mix.
4. Microeconomic reform: LRAS and productivity as the long-run solution, and why it is slow.
5. Judgement: partly effective. Underlying inflation is still above target and the costs are rising (unemployment 4.7% and climbing), so success depends on expectations staying anchored and on the supply shocks fading.

SYLLABUS LINKS

Topic 3 – Inflation (measurement, causes, effects); unemployment and the inflation–unemployment trade-off. Topic 4 – Monetary policy (cash rate, transmission, limitations); fiscal policy (stance, MYEFO, policy mix); microeconomic reform and productivity; limitations of economic policy. Topic 2 – exchange rate effects on inflation.

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